

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT**

Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021

SMD/POLICY/CIR- 40 /2000

August 24, 2000

The President/Executive Director/
Managing Director of
All the Stock Exchanges

Dear Sir,

Corrigendum to Circular no. SMDRP/POLICY/CIR-32/2000 dated July 27, 2000.

Please refer to our above said circular regarding Modified Carry Forward System (MCFS). It is hereby informed that the second para under the heading "*Incremental Carry Forward Margin (ICFM)*" should read as under :

- Accordingly, in case *the carry forward position* in any exchange, in any scrip, exceeds the parameters mentioned below, the ICFM shall be levied, in addition to the carry forward margin, at a rate which is higher of the rates determined as per the tables below :

<i>Net Outstanding Market Position (Rs. In crores)</i>	<i>Rate of Margin</i>		<i>Carry Forward Net Position (in number of shares as % of total number of shares paid-up)</i>	<i>Rate of Margin</i>
Exceeding 75 and up to 100	5%		Exceeding 3% going upto 4%	5%
Exceeding 100 and up to 150	8%		Exceeding 4% going upto 5%	8%
Exceeding 150 and up to 200	12%		Exceeding 5% going upto 6%	12%
Exceeding 200 and up to 300	17%		Exceeding 6% going upto 7%	17%
Exceeding 300 and up to 400	23%		Exceeding 7% going upto 8%	23%
Exceeding 400	30%		Exceeding 8%	30%

It may be noted that the other provisions of the said circular remain the same.

Yours faithfully,

**P.K.BINDLISH
DIVISION CHIEF**

